and futures exchanges around the world. SPAN is based on a sophisticated set of algorithms that determine margin according to a global (total portfolio) assessment of the one-day risk for a trader's account.

BREAKING DOWN 'SPAN Margin'

Options and futures writers are required to have a sufficient amount of margin in their accounts to cover potential losses. The SPAN system, through its algorithms, sets the margin of each position to its calculated worst possible one-day move. The system, after calculating the margin of each position, can shift any excess margin on existing positions to new positions or existing positions that are short of margin.

Contract size

As futures and options are standardized contracts traded on an exchange, they have a fixed contract size. One contract of a derivatives instrument represents a certain number of shares Of the underlying asset. For example, if one contract of BHEL consists of 300 shares of BHEL, then futures price, the buyer will make a profit of 300 X 1 = Rs 300 in rise share by one Re and for every Re 1 fall in BHEL's futures price, he will lose Rs 300.

In the spot market, the buyer of a stock has to pay the entire transaction amount (for purchasing the stock) to the seller. For example, if Infosys is trading at Rs. 2000 a share and an investor wants to buy 100 Infosys shares, then he has to pay